

Strides for Multifaceted Growth

INTERIM FINANCIAL
STATEMENTS
FOR THE PERIOD ENDED
30TH SEPTEMBER 2023



Arpico Insurance PLC
Interim Financial Statements - Quarter 3 - 2023

Income Statement

For the period ended 30 September	Note	Un Audited 2023 LKR	Un Audited 2022 LKR
Gross Written Premium	4	1,740,901,222	1,683,277,785
Premium ceded to reinsurers		(79,141,310)	(44,463,221)
Net written premium		1,661,759,911	1,638,814,564
Other revenue			
Fees and commission income		25,179,626	29,004,366
Investment income	6	443,660,535	298,783,060
Fair value gains		15,067,802	7,648,303
Other operating revenue		4,125,559	3,455,892
Total Other revenue		488,033,522	338,891,621
Total net revenue		2,149,793,433	1,977,706,185
Benefits, claims and expenses			
Net Insurance Benefits and Claims Paid		(1,062,781,014)	(466,063,798)
Net change in insurance claims outstanding		(3,458,627)	-
Underwriting and net acquisition costs		(440,719,729)	(474,513,585)
Change in contract liabilities - life fund		118,574,219	(241,978,163)
Other operating, administrative and selling expenses		(502,251,498)	(616,397,801)
Depreciation and amortisation		(74,186,654)	(38,135,801)
Total benefits, claims and expenses		(1,964,823,304)	(1,837,089,148)
Profit/(Loss) before Taxation		184,970,129	140,617,037
Income Tax Expense	7	(52,041,695)	(33,748,089)
Profit/(Loss) for the Period		132,928,434	106,868,948
Profit/(Loss) attributable to:			
Equity holders of the Company		132,928,434	106,868,948
Basic Earning per Share (LKR)		2.01	1.61
Diluted Earning per Share (LKR)		2.01	1.61

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Statement of Other Comprehensive Income

For the period ended 30 September	Un Audited 2023 LKR	Un Audited 2022 LKR
Profit/(Loss) for the Period	132,928,435	106,868,948
Other Comprehensive Income/(Loss)		
Net change in fair value of available-for-sale financial assets	(192,522,863)	(146,832,199)
Net change in liabilities of insurance contracts arising from fair		
Net change in fair value of AFS reserve transferred to insurance Liabilities	49,815,812	61,203,470
Items that will never be reclassified to profit or loss		
Total Other comprehensive income, net of tax	<u>(142,707,051)</u>	<u>(85,628,729)</u>
Total comprehensive Income/(Loss) for the Period, Net of Tax	<u>(9,778,616)</u>	<u>21,240,219</u>

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Income Statement

For three months ended 30 September	Un Audited 2023 LKR	Un Audited 2022 LKR
Gross Written Premium	434,817,499	564,586,267
Premium ceded to reinsurers	(23,598,306)	(19,125,890)
Net written premium	411,219,193	545,460,377
Other revenue		
Fees and commission income	6,915,770	8,905,150
Investment income	145,718,897	123,813,762
Fair value gains	5,437,468	3,359,793
Other operating revenue	626,603	931,567
Total Other revenue	158,698,737	137,010,272
Total net revenue	569,917,930	682,470,649
Benefits, claims and expenses		
Net Insurance Benefits and Claims Paid	(346,841,064)	(179,446,066)
Net change in insurance claims outstanding	3,236,678	-
Underwriting and net acquisition costs	(130,952,336)	(143,622,415)
Change in contract liabilities - life fund	109,600,759	(106,118,303)
Other operating, administrative and selling expenses	(117,419,194)	(195,675,889)
Depreciation and amortisation	(26,288,018)	-
Total benefits, claims and expenses	(508,663,175)	(624,862,673)
Profit/(Loss) before Taxation	61,254,756	57,607,976
Income Tax Expense	(17,877,065)	(13,825,914)
Profit/(Loss) for the Period	43,377,690	43,782,062
Profit/(Loss) attributable to:		
Equity holders of the Company	43,377,690	43,782,062
Basic Earning per Share (LKR)	0.65	0.66
Diluted Earning per Share (LKR)	0.65	0.66

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Statamnet of Other Comprehensive Income

	Un Audited 2023 LKR	Un Audited 2022 LKR
For three months ended 30 September		
Profit/(Loss) for the Period	43,377,690	43,782,062
Other Comprehensive Income/(Loss)		
Net change in fair value of available-for-sale financial assets	(113,943,847)	(40,439,425)
Net change in liabilities of insurance contracts arising from fair	-	
Net change in fair value of AFS reserve transferred to insurance Liabilities	36,670,013	16,601,072
Items that will never be reclassified to profit or loss		
Total Other comprehensive income, net of tax	<u>(77,273,834)</u>	<u>(23,838,353)</u>
Total comprehensive Income/(Loss) for the Period, Net of Tax	<u>(33,896,144)</u>	<u>19,943,709</u>

Arpico Insurance PLC
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STATEMENT OF FINANCIAL POSITION

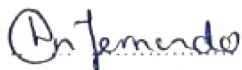
As at	Note	Un Audited 30.09.2023 LKR	Audited 31.12.2022 LKR
Assets			
Intangible assets		849,064	1,118,327
Property, plant and equipment		66,812,735	75,284,032
Right of use assets	8	135,067,683	163,439,549
Deferred tax asset		-	-
Financial assets	10	4,016,009,002	3,681,717,640
Loans to life policyholders		252,045,330	321,812,161
Reinsurance receivables		9,901,504	1,902,666
Amounts due from related parties		22,536,042	21,654,039
Premium receivable		43,096,458	99,334,584
Other assets		87,801,565	83,994,218
DefferdTax Asset		-	-
Cash and cash equivalents		179,423,412	169,799,679
Total Assets		4,813,542,794	4,620,056,895
Equity and Liabilities			
Equity			
Stated capital	15	675,564,870	675,564,870
Retained earnings		1,591,374,156	1,458,445,721
Available for sale reserves		(24,170,089)	(216,692,952)
Total Equity		2,242,768,938	1,917,317,639
Liabilities			
Insurance contract liabilities	11	2,173,100,982	2,241,859,388
Employee benefit obligation		22,753,996	17,057,855
Reinsurance payables		41,593,681	32,402,323
Lease liabilities	9	131,366,600	175,394,254
Amounts due to related parties	12	45,859,990	30,795,272
Other financial liabilities		41,440,245	117,550,937
Other liabilities		114,658,362	87,679,227
Total Liabilities		2,570,773,856	2,702,739,256
Total Equity and Liabilities		4,813,542,794	4,620,056,895

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



S.H.Dulanjith Kaweesha
Finance Controller

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



Dilukshika N Fernando
Director
14 November 2023
Colombo.



Lasinee Serasinhe
Director

Arpico Insurance PLC
Interim Financial Statements - Quarter 3- 2023

STATEMENT OF CHANGES IN EQUITY

	Stated Capital	AFS Reserve	Retained Earnings	Total
	LKR	LKR	LKR	LKR
Audited Balance as at 01 January 2022	675,564,870	(26,545,650)	1,422,126,187	2,071,145,407
Profit for the period			140,617,038	140,617,038
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		(146,832,199)		(146,832,199)
Total Comprehensive Income for the Period, Net of Tax				
Unaudited Balance as at 30th September 2022	675,564,870	(173,377,849)	1,562,743,225	2,064,930,246
Profit/(Loss) for the period			(104,380,760)	(104,380,760)
Actuarial loss on defined benefit plan			83,360	83,360
Net change in fair value of available-for-sale financial assets		(43,315,206)		(43,315,206)
Total Comprehensive Income for the Period, Net of Tax				
Audited Balance as at 31 December 2022	675,564,870	(216,693,055)	1,458,445,825	1,917,317,640
Profit for the period			132,928,435	132,928,435
Other Comprehensive Income / (Loss)				
Net change in fair value of available-for-sale financial assets		192,522,863		192,522,863
Total Comprehensive Income for the Period, Net of Tax	-	192,522,863	132,928,435	325,451,298
Unaudited Balance as at 30th September 2023	675,564,870	(24,170,192)	1,591,374,260	2,242,768,938

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STATEMENT OF CASH FLOWS

For the period ended 30 September	Un Audited 2023 LKR	Un Audited 2022 LKR
Cash flows from operating activities		
Insurance premium received	1,797,139,348	1,680,564,250
Reinsurance premium paid	(28,584,925)	(54,075,549)
Insurance benefits and claims paid	(1,116,489,267)	(505,785,502)
Reinsurance claim received	36,592,885	49,663,399
Other operating cash flows	(1,023,628,334)	(955,665,852)
Cash generated from operating activities	(334,970,293)	214,700,746
Tax Paid	-	(1,248,903)
Employee benefits paid	(245,527)	-
Net cash generated from operating activities	(335,215,820)	213,451,842
Cash flows from investing activities		
Acquisition of financial investments	(1,157,268,327)	(915,559,266)
Acquisition of property, plant and equipment	(10,521,261)	(20,045,110)
Proceeds from sale of investment securities	897,750,973	739,743,450
Interest received	626,293,682	105,256,632
	-	-
Net Cash Used in Investing Activities	356,255,066	(90,604,294)
Net Cash Flows Before Financing Activities	21,039,247	122,847,548
Cash flows from financing activities		
Rent Advance paid for Right of Use Assets	(11,415,435.21)	(6,747,260.17)
Net cash used in financing activities	(11,415,435)	(6,747,260)
Net increase / (Decrease) in cash and cash equivalents	9,623,812	116,100,288
Cash and cash equivalents at the beginning of the year	169,799,599	150,015,184
Cash and cash equivalents at the end of the period	179,423,411	266,115,472

Notes to the Financial Statements

1. Reporting Entity

Arpico Insurance PLC ("Company") is a Public limited liability company incorporated and domiciled in Sri Lanka and the ordinary shares of the company are listed on the stock exchange. The company is registered under the Insurance Industry Act No.43 of 2000 and amendments there to. The registered office of the company is located at 310, High level Road, Nawinna, Maharagama and the principal place of business is located at No. 55/20, Vauxhall Lane, Colombo 02.

2. Approval of Financial Statements

The Unaudited Condensed Consolidated Interim Financial Statements for the quarter ended 30 September 2023 were authorised for issue by the Board of Directors on 14 November 2023.

3. Basis of Preparation

The Financial Statements of the Company have been prepared on an accrual basis under the historical cost convention and applied consistently with no adjustment being made for inflationary factors affecting the Financial Statements except for the financial assets available for sale and financial assets designated at fair value through profit or loss which are measured at fair value and investment properties valued at fair value.

The Condensed Consolidated Interim Financial Statements have been prepared in compliance with Sri Lanka Accounting Standard "LKAS 34 – Interim Financial Reporting". These Interim Financial Statements should be read in conjunction with the Annual Financial Statements for the year ended 31 December 2022. Furthermore, provisions of the Companies Act No. 07 of 2007 have been considered in preparing the Condensed Consolidated Interim Financial Statements of the Company.

The same accounting policies have been followed in preparation of these Interim Financial Statements as stated

4. Gross Written Premium

For the Period Ended 30 September	Un Audited 2023 LKR	Un Audited 2022 LKR
First year premium	506,580,983	808,879,414
Renewal premium	843,371,963	814,722,326
Group premium	390,948,276	59,676,046
	<u>1,740,901,222</u>	<u>1,683,277,786</u>

5. Premium Ceded To Reinsurers On Insurance Contracts

For the Period Ended 30 September	Un Audited 2023 LKR '000	Un Audited 2022 LKR '000
Conventional policies		
Total premium ceded to reinsurers	<u>77,963,517</u>	<u>44,463,221</u>
Total net written premium	<u>1,662,937,705</u>	<u>1,638,814,565</u>

Notes to the Financial Statements

6. Investment income

For the Period Ended 30 September	Un Audited 2023 LKR	Un Audited 2022 LKR
Held to maturity financial assets		
Interest Income	136,871,305	74,698,766
Loans and receivables		
Interest Income	267,871,898	117,894,150
Available For Sale Financial Assets		
Interest Income	38,917,332	102,795,143
Dividend income	-	3,395,001
	<u>443,660,535</u>	<u>298,783,060</u>

7. Income Tax Expense

For the Period Ended 30 September	Un Audited 2023 LKR	Un Audited 2022 LKR
Income tax on current period profit	52,041,695	(33,748,089)
Total current income tax	<u>52,041,695</u>	<u>(33,748,089)</u>

8. Right of Use Assets

As at	Un Audited 30.09.2023 LKR	Audited 31.12.2022 LKR
Opening balance	163,439,549	129,675,417
Additions of right of use lease asset during the period	15,137,532	78,880,660
Depreciation for the period	(54,924,833)	(68,236,528)
Advance payment for leases	11,415,435	23,120,000
Closing balance	<u>135,067,683</u>	<u>163,439,549</u>

9. Lease liabilities

As at	Un Audited 30.09.2023 LKR	Audited 31.12.2022 LKR
Opening balance	175,394,254	157,443,360
Additions during the period	15,137,532	78,880,659
Finance cost recognised in profit and loss	26,413,588	24,480,897
Lease payments	(85,578,773)	(85,410,662)
Closing balance	<u>131,366,600</u>	<u>175,394,254</u>

Notes to the Financial Statements

10. Financial Assets

As at	Un Audited 30.09.2023 LKR	Audited 31.12.2022 LKR
Loans and receivables (10.1)	2,273,679,864	2,153,718,672
Available-for-sale financial assets (10.2)	535,044,624	307,925,670
Held to Maturity (10.3)	1,093,672,732	1,130,191,222
Fair Value through profit & Loss (10.4)	113,611,782	89,882,076
	<u>4,016,009,002</u>	<u>3,681,717,640</u>

10.1 Loans and receivables

	Un Audited 30.09.2023 LKR	Audited 31.12.2022 LKR
Amortised cost		
Debentures	649,149,751	794,531,247
Fixed deposit	1,125,184,740	784,289,965
Reverse repurchase agreements	237,091,962	404,752,229
RPAF loan	100,000,000	100,000,000
Treasury bills	162,253,411	70,145,231
	<u>2,273,679,864</u>	<u>2,153,718,672</u>

Available-for-sale financial assets

	Un Audited 30.09.2023 LKR	Audited 31.12.2022 LKR
10.2 Treasury bonds	283,915,998	192,297,670
Quoted equities	251,128,626	115,628,000
	<u>535,044,624</u>	<u>307,925,670</u>

10.3 Held to Maturity

	Un Audited 30.09.2023 LKR	Audited 31.12.2022 LKR
Treasury bonds	1,093,672,732	1,130,191,222
	<u>1,093,672,732</u>	<u>1,130,191,222</u>

10.4 Fair Value through profit & Loss

	Un Audited 30.09.2023 LKR	Audited 31.12.2022 LKR
Unit trust	113,611,782	89,882,076
	<u>113,611,782</u>	<u>89,882,076</u>

11. Insurance Contract Liabilities

As at	Un Audited 30.09.2023 LKR	Audited 31.12.2022 LKR
Balance as at 1 January	2,241,859,388	1,897,003,107
Change in contract liabilities life fund		
Increase in life insurance fund before surplus transfer	(118,574,219)	277,169,203
Surplus transferred from / (to) shareholders	-	131,691,505
Increase in life insurance fund		
Movement in AFS reserve transferred to life fund	49,815,812	(64,004,427)
Life Insurance Fund balance as at period end	<u>2,173,100,981</u>	<u>2,241,859,388</u>

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12. Related Party Transactions

12.1 Amounts Due to Related Party

As at		Un Audited 30.09.2023 LKR	Audited 31.12.2022 LKR
Related Party	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	10,782,832	10,782,831
Richard Pieris Distributors Limited	Fellow Subsidiary	34,721,546	19,656,828
Arpico Interiors (Pvt) Ltd	Fellow Subsidiary	176,138	179,475
Arpitech (pvt) Ltd	Fellow Subsidiary	179,475	176,138
		45,859,990	30,795,272

12.2 Amounts Due From Related Parties

As at		Un Audited 30.09.2023 LKR	Audited 31.12.2022 LKR
Related Party	Relationship		
Richard Pieris & Company PLC	Ultimate Parent	22,536,042	3,651,383
Richard Pieris Distributors Limited	Fellow Subsidiary		18,002,656
		22,536,042	21,654,039

13. Contingent Liabilities

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 30 September 2023, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

14. Events Occurring After The Reporting Date

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interim financial statements.

15. Stated Capital

As at 30 September	Un Audited 2023 LKR	Audited 2022 LKR
Ordinary Shares	675,564,870	675,564,870
	675,564,870	675,564,870
No of Ordinary Shares	66,230,407	66,230,407

16. Share Information

16.1 Net Assets Per Share

As at 30 September	Un Audited 2023 LKR	Audited 2022 LKR
Net Assets Per Share	33.86	31.20

16.2 Market Price Per Share

For the quarter ended 30 September	2023 LKR	2022 LKR
Highest Price	25.50	22.40
Lowest Price	24.80	14.20
Closing Price	25.50	22.70
Market Capitalization	1,688,875,379	1,324,608,140
Float Adjusted Market capitalization	169,056,425	132,593,275

17. Public Shareholding

For the quarter ended 30 September	2023		2022	
	No of Shares	%	No of Shares	%
Public Shareholding	6,630,404	10%	6,630,404	10%

18. Directors' Shareholding

As at 30 September	2023	2022
Mrs. Lasinee Serasinhe	Nil	Nil
Mr. Shiron Gooneratne	Nil	Nil
Mrs. Dilukshika Fernando	Nil	Nil
Mr. Ramal Jasinghe	Nil	N/A

19. Twenty Largest Shareholders as at 30 September 2023

Name of Shareholder	No of Shares	%
1 KEGALLE PLANTATIONS LIMITED	26,685,001	40.29%
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86%
3 RICHARD PIERIS AND CO LTD - ACCOUNT NO. 01	15,125,001	22.84%
4 MR.D.G.WIJEMANNA	1,597,105	2.41%
5 MRS.T.T.A.DE SILVA WEERASOORIA	994,677	1.50%
6 MR.C.S.N.SILVAPULLE	668,399	1.01%
7 T R L HOLDINGS (PVT) LIMITED	300,000	0.45%
7 MR.J.P.PAUL	252,410	0.38%
9 MR.A.P.ARUMUGAMPILLAI	200,000	0.30%
10 MR.D.P.NAVARATNAM	194,000	0.29%
11 MR.B.T.DE S WEERASOORIA	149,078	0.23%
12 MR.T.A.N.GOMIS	148,685	0.22%
13 PEOPLES LEASING & FINANCE PLC/MR.K.J. GAMAGE	135,261	0.20%
14 MR.S.A.OBEYESEKERE	103,300	0.16%
15 TRADING PARTNERS (PVT) LTD	100,000	0.15%
16 CF0025 FLYBRUNEI SDN BHD	99,700	0.15%
17 MR.M.L.A.BENEDICT	93,500	0.14%
18 PEOPLES LEASING & FINANCE PLC/MR.K.	86,531	0.13%
19 MR.S.D.L.K.LAKMAL	86,007	0.13%
20 MR.H.A.S.MADANAYAKE	78,300	0.12%
	64,886,956	97.97%
Others	1,343,451	2.03%
Total	66,230,407	100.00%